



IN THE HIGH COURT OF KARNATAKA, AT DHARWAD

DATED THIS THE 2ND DAY OF DECEMBER, 2025

BEFORE

THE HON'BLE MR. JUSTICE M.NAGAPRASANNA

WRIT PETITION NO. 102479 OF 2016 (S-DIS)

BETWEEN:

SRI. GOPAL BILAGIKAR S/O SIDLEPPA,
AGE: 45, PLOT NO.6, UDAYANAGAR,
BENGERI, HUBBALLI-580023.

...PETITIONER

(BY SRI. MALLIKARJUNSWAMY B.HIREMATH, ADVOCATE)

AND:

1. UNION BANK OF INDIA,
239, VIDHAN BHAVAN MARG,
NARIMAN POINT,
MUMBAI-400021
BY ITS CHAIRMAN AND
MANAGING DIRECTOR,
2. GENERAL MANAGER and
DISCIPLINARY AUTHORITY,
UNION BANK OF INDIA,
239, VIDHAN BHAVAN MARG,
NARIMAN POINT,
MUMBAI-400021.
3. ASSISTANT GENERAL MANAGER (IR)
and DISCIPLINARY AUTHORITY,
DEPARTMENT OF PERSONNEL,
INDUSTRIAL RELATION
DIVISION CENTRAL OFFICE,
UNION BANK OF INDIA,
239, VIDHAN BHAVAN MARG,
NARIMAN POINT,
MUMBAI-400021.





4. ASSISTANT GENERAL MANAGER,
UNION BANK OF INDIA,
REGIONAL OFFICE, BELAGAVI
5. BRANCH MANAGER,
UNION BANK OF INDIA,
VIDYAGIRI BAGALKOTE BRANCH.
6. CHIEF MANAGER,
UNION BANK OF INDIA,
REGIONAL OFFICE,
BELAGAVI.
7. SRI.NAGABASAYYA S/O. HALAYYA
BRANCH MANAGER,
VIDYAGIRI BAGALKOTE BRANCH,
PRESENTLY ADDRESS:
REGIONAL OFFICE,
UNION BANK OF INDIA,
RAVIWARPET, BELAGAVI.

...RESPONDENTS

(BY SRI. NARAYAN V YAJI, ADVOCATE FOR R1-R7)

THIS WRIT PETITION IS FILED UNDER ARTICLES 226 AND 227 OF THE CONSTITUTION OF INDIA PRAYING TO ISSUE A WRIT OF CERTIORARI QUASHING THE ORDER BEARING NO.CO:IRD: 6653/2011 DATED 16-11-2011 PASSED BY THE RESPONDED NO. 3 VIDE ANNEXURE - N AND SO ALSO THE ORDERS BEARING NO.CO:IRD: 5437/2012 DATED 14-09-2012, ANNEXURE R, ORDER NO.CO:IRD:3379//2013 DATED 15-07-2013 ANNEXURE-T AND ORDER NO. CO:IRD:7318/2014 DATED 27-2-2014, ANNEXURE-W RESPONDENTS NO.2 PASSED BY THE RESPONDENTS NO.2

THIS WRIT PETITION, COMING ON FOR PRELIMINARY HEARING IN B GROUP THIS DAY, ORDER WAS MADE THEREIN AS UNDER:



ORAL ORDER

(PER: THE HON'BLE MR. JUSTICE M.NAGAPRASANNA)

1. The petitioner is before this Court calling in question an order of the disciplinary authority imposing a penalty of dismissal from service, the order of the appellate authority affirming the said order of dismissal and the order of the reviewing authority affirming both the orders or refusing to review the orders passed by both the authorities. All of which are under challenge. Therefore, the petitioner is dismissed from service on account of certain allegations levelled against him.

2. Heard Shri Mallikarjunswamy B.Hiremath, learned counsel appearing for the petitioner and Shri Narayan V.Yaji, learned counsel appearing for respondents.

3. Facts adumbrated are as follows.

The petitioner is appointed as a Clerk cum Cashier in Union Bank of India on 07.12.1989 and at the relevant point in time the petitioner was working as an Accountant, which was with effect from 25.09.2009. Certain allegations crop-up against the petitioner of certain serious misconduct or misappropriation as the case would be on a complaint by a customer. Out of the



allegations, two proceedings spring. One, the Criminal Law being set into motion and the other, a departmental inquiry. In the departmental inquiry, the reply submitted by the petitioner to the charge sheet, having found unsatisfactory, the enquiry officer is appointed to enquire into the allegations. The enquiry officer holds the petitioner guilty of the allegations.

4. On the consideration of the findings of the enquiry officer and the reply submitted by the petitioner, the disciplinary authority imposes a penalty of dismissal from service. The petitioner approaches the appellate authority as obtaining under Regulation 17 of the Banking Regulations and seeks reversal of the order of dismissal. The appellate authority affirms the said order. The petitioner then prefers a review under Regulation 18 of the Banking Regulations, which also comes to be rejected. The petitioner is before the Court as observed herein above calling in question all the aforesaid orders. The contemporaneous development that takes place is that the criminal law that was set into motion against the petitioner ends in his acquittal *albeit* on rendering benefit of doubt. The acquittal of the petitioner is said to have become final.



5. Learned counsel appearing for the petitioner submits that a complaint is registered against the petitioner, the accountant and the manager. The two are charged similarly. The petitioner is chosen for extreme penalty of dismissal from service while the manager, who is also charged with similar allegations, is imposed penalty of reduction in time scale by two stages. The learned counsel submits that it is discriminatory. Further, the learned counsel submits that the criminal case that was registered on the same set of facts has ended in acquittal and the acquittal has become final. Therefore, on all these circumstances the learned counsel submits that the order of penalty or the order of the appellate authority must be set aside and the petitioner must be directed re-instatement. More so in the light of the fact that the complainant himself later gives a letter that he has used the amount and it is not misused by the petitioner. On all the aforesaid score, he seeks that the petition be allowed.

6. Per contra, the learned counsel Shri Narayan V.Yaji appearing for the respondent Bank would vehemently refute the submission in contending that the petitioner is guilty of



misappropriation of funds not only on the complaint, but there are several other allegations. He would take this Court through the findings of the enquiry officer and the order of the disciplinary authority and the appellate authority and seek dismissal of the petition.

7. I have given my anxious consideration to the submissions of the learned counsels appearing for the parties and perused the records.

8. The afore-narrated facts are not in dispute. The complaint is registered against two persons, one the petitioner and the other the manager. This is an admitted fact. The complaint was registered against both the petitioner - the accountant and the manager. This is again a matter of fact. The criminal case was registered against both the manager and the petitioner. It transpires that the criminal case against the manager has been quashed by a Co-ordinate Bench of this Court in exercise of its jurisdiction under Section 482 of the Cr.P.C. Therefore, the criminal trial was conducted only against the petitioner.



9. The development that takes place on the departmental side is that the petitioner pursuant to the articles of charge being served upon him is found guilty at the hands of the enquiry officer. The findings of the enquiry officer is as follows.

"Findings:

On perusal of deposition of Management Witness in examination-in-chief and in cross examination and documents on record. It is observed that Shri Gopal Biligikar debited the Banker's account to the extent of Rs.3.00 lacs and credited to the SB a/c of Shri Hiremath.

In order to cover up his misdeed, he has borrowed Rs. 3.00 lacs from the borrowers and got it credited in Hiremath's A/c and thereafter on 18.08.2010 an amount of Rs. 3.00 lacs was debited to SB a/c No. 201/133 of Mr. M.M. Hiremath and credited to Banker's A/c along with inward clearing instruments by Tran ID AA115702, loose cheque No. 948125 favoring Shri Madhusudhan. The actual amount of Rs. 24, 42,674 was inflated to Rs. 27, 42,674 was credited to Banker's A/c SBI as per MEX9.

During the course of the Inquiry he has brought letter from Shri Hiremath stating that on 18.08.2010 Mr. Hiremath has paid an amount in his a/c but the amount paid by him is silent as per letter DEX2, which clearly shows at 11th hour Mr. Hiremath in order to save Shri Biligikar has given such a letter. Mr Hiremath vide Mex 23 has informed to the Bank that the transactions taken place in his SB a/c 201/133 on 14.07.2010 and 18.08.2010 were not in his knowledge. He has also added that he is an Income Tax assessee and has to submit proof of amount received and paid to our auditors, hence requested to delete the above transactions in his a/c. Hence, it is clear that Shri Hiremath in order to save Mr. Biligikar has given such letter and joined hands with Mr. Biligikar in defrauding the Bank. If Shri Hiremath is true to his statement he should have addressed the letter to



the Branch Manager. Whereas, he has given a letter to CSO, "To Whom so ever it may concern" is nothing but after thought and merely to help the CSO.

As per the record Shri Gopal Biligikar has availed LFC encashment and when the matter came to light during investigation Shri Gopal Biligikar confessed that he had availed the LFC encashment and failed to apply leave in Union Parivar and accordingly he applied one day CL mentioning the reason as LFC on a later date. It clearly shows that Shri Biligikar himself admitted that he has availed LFC encashment and failed to apply in Union Parivar.

Regarding LFC encashment it is also proved that he has entered and verified by misutilizing Shri Nagabasiah, Branch Manager ID. But he could not do it the same in case of leave as by then the fraud was already surfaced and by then Shri Nagabasiah was alert and hence he could no more misuse his ID and password of Shri Nagabasaiah. Hence the leave applied on a later date is still pending in submission stage itself.

Further, it is observed that against the name of Shri Gopal Biligikar on 04.02.2010 to 06.02.2010, 08.04.2010, 15.05.2010 in branch Muster Role remark of "leave" has been marked whereas as per Mex11 there is no leave submitted by Shri Gopal Biligikar as per Leave Register of Union Parivar.

It is observed that Shri Gopal Biligikar misutilized the ID of Shri Nagabasaih, Branch Manager of Bagalkot Branch and opened the a/c of Ms Shruthi Gopal Biligikar. Without adhering to KYC norms. He has also collected ATM card on behalf of Ms Shruthi by forging the signature of Ms Shruthi as per Mex16.

Shri Gopal Biligikar after realization of self-cheque of M/s Niramala Enterprises drawn on Bank of India, Belgaum has been credited to his OD a/c on 09.08.2010 leading to wrongful conversion of the cheque.

From Dex1, it is clearly evident that the transactions transpired from parties' a/c to Shri Gopal Biligikar account. Hence it is clear that Money lending activities



with our Bagalkot Branch customers against Officer's Conduct Service Regulations. It is also proved that from his OD a/c there are large amount of transactions like transfer of funds from customers CC a/c and SB a/c.

In view of the above, the following charges are proved:

- Failure to take all possible steps to ensure and protect the interest of the Bank.
- Failure to discharge his duties with utmost devotion and diligence.
- Failure to discharge his duties with utmost honesty and integrity.
- Acting otherwise than in his best judgement in performance of his official duties.

Submitted to the disciplinary authority."

10. The findings against the petitioner is that the petitioner has not taken all possible steps to protect the interest of the bank, failed to discharge his duty with devotion and diligence, discharged his duty with honesty and integrity and all leading to the guilt being established against the petitioner. The disciplinary authority passes an order of dismissal from service by the following order.

"I have gone through the aforesaid Articles of Charge issued to Shri Bilgikar, inquiry proceedings, depositions made by the witnesses, exhibits produced during the course of inquiry, findings dated 23.07.2011 recorded by the Inquiring Authority and other connected papers.



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It is observed that the following allegations are held as proved against Shri Bilgikar through the oral / documentary evidence adduced during the course of departmental inquiry:

- Shri Bilgikar fraudulently debited the SBI Banker's account and misutilised the banker's account to the extent of Rs.3,00,000/- and credited SB a/c No. 582802010000133 of Shri M M Hiremath on 14.07.2010 by manipulation of records without any basis and without any underlying transaction.
- He fraudulently withdrawn Rs.3,00,000/- from SB a/c No.582802010000133 of Shri M M Hiremath through loose leaf on 14.07.2010 by forging the signature of the Account holder.
- He manipulated the books of accounts and suppressed the fraudulent entry of Rs.3,00,000/- made in the SBI Banker's account on 14.07.2010 from the controlling office while submitting the reconciliation statement as of July 2010.
- On 18.08.2010 i.e. the date of his relieving from Bagalkot Branch, he borrowed an amount of Rs.3,00,000/- from customers of the Branch and deposited the same in the SB account of Shri M M Hiremath and thereafter debited the said SB a/c and credited the SBI Banker's account to cover up the fraudulent transaction undertaken by him in the banker's account.
- He availed PL Encashment of Rs.35210.10 without submitting the required declaration, without undertaking LFC and without entering the same in Union Parivar to the debit of his PL A/c. Thus, he violated the Bank's rules/procedures in this regard and caused wrongful gain to himself.
- He did not submit the leave application /did not apply in Union Parivar while availing the leave viz 04.02.10 to 06.02.10, 08.04.10 and 15.05.10.
- He had opened the account in the name of Ms. Shruthi Gopal Bilgikar on 05.07.2010 without requisite account



opening form, without adhering to KYC norms by misutilizing the ID of Shri Nagabasaiah, Branch Manager, Bagalkot Branch and collected ATM card on behalf of Ms. Shruthi by misrepresentation by signing himself as "Shruthi".

- He encashed the "self" cheque of M/s Nirmala Enterprises drawn on Bank of India, Belgaum in his OD account No. 365004020000005 on 09.08.2010 leading to wrongful conversion of cheque.
- He engaged himself in money lending activities with the customers of Bagalkot Branch in contravention of Union Bank of India Officer Employees' (Conduct) Regulations, 1976. The staff OD account of Shri Bilgikar revealed large number of transactions like transfer of funds from Customers Current & Saving Banks accounts and vice-versa.

In view of the above said findings, the Inquiring Authority has held Shri Bilgikar guilty for the following charges levelled against him and I concur with his findings:

1. Failure to take all possible steps to ensure and protect the interest of the Bank.
2. Failure to discharge his duties with utmost devotion and diligence.
3. Failure to discharge his duties with utmost honesty and integrity.
4. Acting otherwise than in his best judgement in performance of his official duties.

The charges / allegations levelled against Shri Bilgikar have amply been proved during the course of inquiry and he was afforded all the reasonable opportunities to refute the same. The lapses on the part of Shri Bilgikar involving manipulation of records, misappropriation of funds, perpetrating fraudulent transactions etc. smacks of his doubtful integrity and honesty.



Looking to the seriousness of the charges/ allegations held as proved against Shri Bilgikar, I am of the opinion that ends of justice will be met by imposing on him major penalty of 'Dismissal from the services of the Bank with immediate effect' which would be just and proper.

Accordingly, I hereby pass the following order, in exercise of the powers conferred on me under Regulation 7 of the Union Bank of India Officer Employees' (Discipline & Appeal) Regulations, 1976:

ORDER

"The major penalty of 'Dismissal from the services of the Bank with immediate effect', be and is hereby imposed on Shri Gopal S. Bilgikar."

Shri Bilgikar is required to note that he will not be entitled to any pay and allowances for the period of suspension, save and except the subsistence allowance drawn by him."

11. An appeal is filed against said order. The appellate authority also confirms the order of dismissal. The issue now is that the petitioner and the manager were proceeded departmentally hand in hand. The joint enquiry as obtaining under Regulation 10 of the Banking Regulations ought to have been initiated. The same is not done. This undoubtedly has caused prejudice to the petitioner. But it cannot be lost sight of the fact that the petitioner is charged of misappropriation of funds which is not completely but bleakly established in the enquiry. Therefore, there is some semblance of discrimination in



imposition of penalty qua the manager and the petitioner, the accountant.

12. The added circumstance is that the manager is acquitted of the criminal case that was registered simultaneously along with the departmental inquiry so initiated. The finding by the Criminal Court is as follows.

"The petitioner who is accused No.2 in the charge sheet submitted by the Police in C.C.No.5/2011 pending on the file of the C.J.M., Bagalkot, has filed this petition to quash the proceedings as against him.

2. The facts relevant for the purpose of this petition are as under:

The petitioner is working as the Manager of the Union Bank of India, in the branch at Bagalkot. Accused No.1 Gopal S. Bilgikar, working as an Accountant in the said bank. At the relevant time, it was his duty to look after day to day transactions, balancing of books, reconciliation of inter bank account, collection of local cheques of the customers in clearing and outstation cheques and to credit the proceeds of such cheques to respective customers' accounts etc.

3. If each transaction to be entered, posted and verified in the computer system, any two staff members' ID and password are required. That being the fact, the petitioner informed the superior authority that accused No.1 has carried the transactions without the permission of the petitioner by using his ID and password, stealthily when the computer was in login status with his ID and password. The accused No. I took an amount of Rs.3,00,000/- on 14.07.2010 of the customer Shri Mallikarjun Hiremath by debiting to the account No.582805310001000, though no cheque was presented for collection in clearing by the customer, the 1st accused withdrawn the amount by taking a loose leaf cheque,



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impersonating the signature on the cheque, passing the cheque by himself and collecting the amount by himself from the cashier Shri Babu T. It is in these circumstances, that the Manager was not aware and later this fact was revealed and the petitioner informed the Chief Manger about the act committed by the 1st accused. It is accordingly that the Chief Manager submitted a complaint to the Police as per Annexure-A against accused No.1 having withdrawn an amount of Rs.3,00,000/- from the account of Shri Mallikarjun Hiremath and having credited the same after using the said amount for some time. In the course of the investigation, the Police have also arrayed the petitioner as accused No.2 alleging that the petitioner colluded with accused No.1 allowed the withdrawal of Rs.3,00,000/-. It is the said charge sheet and order of cognizance taken against the petitioner which has been challenged in this petition.

4. I have heard the learned counsel for the petitioner and the learned High Court Government Pleader.

5. As could be seen from the allegations in the complaint, the grievance is as against the accused No.1 and the relevant portion of the complaint as against the 1 accused is extracted here under: -

"It is the said Gopal S. Bilgikar has withdrawn the said amount by taking a loose leaf cheque, impersonating the signature on the cheque, passing the said cheque by himself and collecting the said amount himself from cashier Shri Babu T., which fact is not aware of to our above customer. Thus the said Gopal S. Bilgikar has siphoned out the amount of Rs.3,00,000/- from Banks' funds fraudulently and utilised the said amount for his personal requirement."

6. So, as could be seen from the allegations of the complaint, it is as against the 1st accused no grievance has been made by the complainant regarding the involvement of the petitioner. During the course of the investigation, the Police have recorded the statements of the cashier, peon and sweeper. So far as the transaction in question is concerned, it is in the statement of the cashier that a cheque which is submitted for collection has



to be taken to the Manager and after his signature it is to go for collection. But as could be seen from the allegations in the complaint, it is specifically stated that the 1TM accused himself signed the cheque, passed the said cheque himself and collected the said amount himself from cashier Shri Babu T. and that the cheque was not taken to the Manager for the purpose of passing the said cheque for payment.

7. In the circumstances, I am of the opinion that the registration of the complaint as against the petitioner and the charge sheet filed is improper and illegal.

8. In that view of the matter, the petition is allowed. The proceedings in C.C.No.5/2011 so far as the 2nd accused is concerned, are hereby quashed.

9. The learned Magistrate shall proceed against the 1st accused and dispose of the case in accordance with law."

13. The Court holds that the case of the prosecution suffers from dearth of cogent, corroborative and convincing evidence. The prosecution has failed to prove the guilt beyond all reasonable doubt. But however, the Criminal Court employs the words benefit of doubt and acquits the petitioner. The situation now is petitioner is acquitted of the offence. The manager's criminal trial has been quashed at the hands of the Co-ordinate Bench. In the light of the aforesaid circumstance of variance in penalty, both to the manager and the petitioner, petitioner being chosen for extreme penalty of dismissal and the manager being chosen for imposition of reduction in time scale by two stages, it



is necessary for the disciplinary authority to now consider whether a lesser penalty can be imposed upon the petitioner, which would render him some benefit for rendering 22 years of continuous service from 1989 to 2011, the year on which he was dismissed from service.

14. In the light of the said circumstance, I deem it appropriate to pass the following

ORDER

- (i) The petition stands disposed.
- (ii) The order of penalty of dismissal of service is not interfered with. However, the non-interference will not come in the way of the disciplinary authority considering the imposition of a lesser penalty against the petitioner, which would be lesser penalty against the petitioner which would enure certain benefit to the petitioner for having rendered 22 years of service prior to the imposition of penalty.



(iii) All consequential orders or benefits would flow
from the said order.

Ordered accordingly.

Sd/-
(M.NAGAPRASANNA)
JUDGE

VNP / CT: ANB
List No.: 1 Sl No.: 2